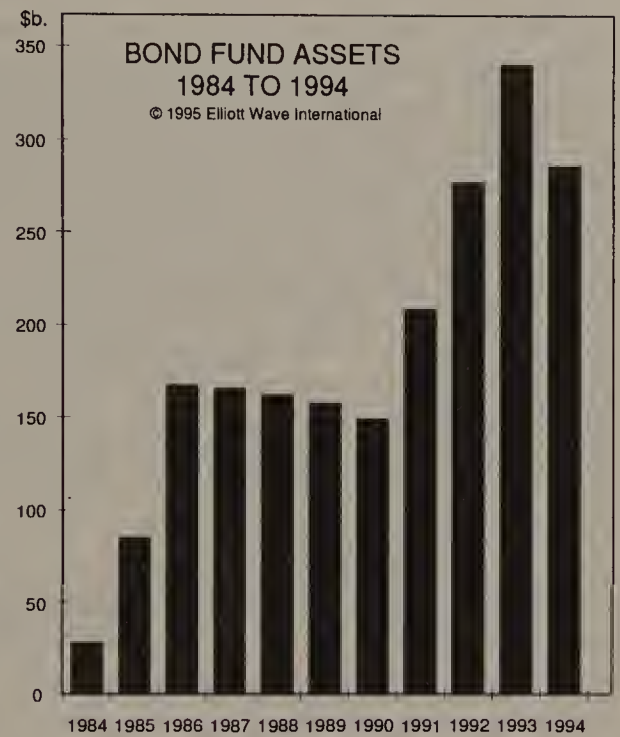

Figure 16-12

Not only did the mutual fund industry put all the new money it received during the mania into bonds, but it put in even more. According to the Investment Company Institute, bond funds' average cash percentage dropped from 20.8% of assets in 1980 to a record low 2.2% in 1993. In other words, bond funds embraced the mania, becoming 97.8% invested, their biggest commitment *ever*. As shown in Figure 16-13, their cash level in 1993 was *half* the percentage they held at the previous record low of 4.3% set in 1977, from which year bond prices took a drubbing that made the history books. As *The Elliott Wave Theorist* said in 1993, "That percentage represents a conviction among fund managers that bonds are utterly without risk." View this figure along with Figure 11-12 to see the combined results among fund managers of the psychological imperative to own paper investments.

The 1994 decline in bond prices caused enough concern to have brought funds' cash levels back to 5% today, but as that was the reading at the 1986 top, it is hardly a conservative position. Because the percentage of cash remains low and the public remains heavily invested, the long term decline that began in October 1993 is almost certainly not over.

As this is written, the wave ② rally is rekindling the atmosphere of hope and confidence toward the market for debt, keeping long term bullish opinion at fever pitch. Repeated reports that the bond market's total return of minus 20.92% for the 13-month decline was the greatest in U.S. history for any equivalent period has made bond investors believe that they have already suffered a bear market that cannot be repeated for a century. Today's "wave two" psychology is a Primary degree version of the larger "wave two"